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a. Snowball Method

(Focuses on Balance Size)

It is a simple repayment strategy in which you pay the “sabse chhota loan.”

Simply put, the ‘snowball method’ involves paying off your smallest loan first. The money you contribute to that payment is then applied to the next-smallest obligation after settling it. This procedure should ideally be followed until all accounts are settled. The amount ‘snowballs’ and grows larger and larger when you roll over the money used from the smallest balance to the next on your list ! In this method, seeing progress makes paying off the debt less daunting and inspires you to keep going.

